

**SUBSTITUTE FOR
SENATE BILL NO. 740**

A bill to amend 1949 PA 300, entitled
"Michigan vehicle code,"
by amending sections 238, 806, and 810a (MCL 257.238, 257.806, and
257.810a), section 238 as amended by 2014 PA 291, section 806 as
amended by 2023 PA 129, and section 810a as amended by 1993 PA 300.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 238. (1) When an owner named in a certificate of title
2 creates a security interest in the vehicle described in the
3 certificate or in any accessory on the vehicle, all of the
4 following apply:

5 (a) The owner shall immediately execute an application in the
6 form prescribed by the department to name the holder of the
7 security interest on the certificate of title, showing the name and



1 address of the holder and deliver the certificate of title,
 2 application and the required fee together with a copy of the
 3 application, to the holder of the security interest.

4 (b) The holder of the security interest shall cause the
 5 certificate of title, application and fee and the copy of the
 6 application to be mailed or delivered to the department.

7 (c) The department shall indicate on the copy of the
 8 application the date and place of filing of the application.

9 (d) ~~Upon~~**On** receipt of the certificate of title, application
 10 and the required fee, the department shall issue a new certificate
 11 in the form provided by section 222 setting forth the name and
 12 address of each holder of a security interest in the vehicle or in
 13 any accessory on the vehicle for which a termination statement has
 14 not been filed and the date on which the application first stating
 15 the security interest was filed, and mail the certificate to the
 16 owner. However, as provided under this section, the secretary of
 17 state is not required to issue a title to the owner of a vehicle if
 18 the title is subject to a security interest.

19 (2) A holder of any kind of a security interest may assign,
 20 absolutely or otherwise, the holder's security interest in the
 21 vehicle or any accessory ~~thereon~~**on the vehicle** to a person other
 22 than the owner without affecting the interest of the owner or the
 23 validity of the security interest, but any person without notice of
 24 the assignment is protected in dealing with the holder of the
 25 security interest as the holder ~~thereof~~**of the security interest**.

26 **(3) If a person rejects the assignment or the purchase of a**
 27 **motor vehicle lease agreement or installment sale contract, or at**
 28 **any time after accepting the assignment or purchase of a motor**
 29 **vehicle lease agreement or installment sale contract, the person**



1 subsequently reassigns or transfers the motor vehicle lease
 2 agreement or installment sale contract to the licensed dealer or
 3 installment seller after a security interest is identified on the
 4 application for title or the title for the vehicle, the person
 5 shall provide written notice to the licensed dealer or installment
 6 seller that the person does not retain a security interest or that
 7 it has returned the security interest in the vehicle to the
 8 licensed dealer or installment seller. If accompanied by a properly
 9 completed application for title, the department shall accept the
 10 written notice from the person and issue a new title identifying
 11 the licensed dealer or installment seller as the secured party on
 12 the title to the vehicle.

13 (4) ~~(3)~~—The assignee of a security interest may have the
 14 certificate of title indorsed with the assignee named as the holder
 15 of the security interest by providing the department with a copy of
 16 the assignment instrument, but the failure of the assignee to do so
 17 ~~shall~~ **does** not affect the validity of the security interest of that
 18 assignment.

19 (5) ~~(4)~~—If there is no outstanding obligation and no
 20 commitment to make advances, incur obligations, or otherwise give
 21 value secured or to be secured by a security interest in a vehicle
 22 or an accessory on the vehicle, for which the certificate of title
 23 is in possession of a secured party, the secured party may, not
 24 more than 14 days after satisfaction of the obligation, execute a
 25 termination statement in the form prescribed by the department and
 26 mail or deliver the termination statement to the owner or another
 27 person as the owner may direct.

28 (6) ~~(5)~~—If there is no outstanding obligation and no
 29 commitment to make advances, incur obligations, or otherwise give



1 value secured or to be secured by a security interest in a vehicle
2 or an accessory on the vehicle, for which the certificate of title
3 is in the possession of another person, the secured party shall,
4 within 14 days after demand but not more than 30 days after demand,
5 execute a termination statement in the form prescribed by the
6 department and mail or deliver the termination statement to the
7 owner or another person as the owner may direct.

8 **(7)** ~~(6)~~—The department may require that all transactions
9 concerning vehicle title liens and security interests be conducted
10 by electronic means, as determined by the department. After all
11 liens have been terminated, or for purposes of retitling the
12 vehicle in another state or any other purpose deemed appropriate by
13 the department, the department may issue a paper copy of the
14 vehicle title to the vehicle's owner.

15 **(8)** ~~(7)~~—A vehicle sale transaction in which a security
16 interest is entered by electronic means ~~shall~~**must** include a
17 document recording entry of the electronic security interest and
18 information regarding the financial institution that holds the
19 security interest. At the time a security interest is presented
20 with payment in satisfaction of the security interest, a secured
21 receipt in a form approved by the department and produced at the
22 time the security interest is presented with payment in
23 satisfaction of the security interest may be submitted to the
24 department in lieu of the title for purposes of transferring
25 ownership in the vehicle.

26 **(9) As used in this section, "installment buyer", "installment**
27 **sale contract", and "installment seller" mean those terms as**
28 **defined in section 2 of the motor vehicle sales finance act, 1950**
29 **(Ex Sess) PA 27, MCL 492.102.**



1 Sec. 806. (1) Until October 1, 2027, an applicant for a
2 certificate of title required by this act or an applicant for a
3 duplicate of a certificate of title shall accompany the application
4 with a fee of \$10.00. An applicant that requests that the
5 application be given special expeditious treatment shall accompany
6 the application with an additional fee of \$5.00. The secretary of
7 state shall collect a \$3.00 service fee, in addition to the other
8 fees collected under this subsection, for each title issued and
9 shall deposit the fee in the transportation administration
10 collection fund created under section 810b through October 1, 2027.
11 Until October 1, 2027, the \$5.00 expeditious treatment fee must be
12 deposited into the transportation administration collection fund
13 created under section 810b.

14 (2) An applicant for a special identifying number under
15 section 230 shall accompany the application with a fee of \$10.00.

16 (3) In addition to paying the fees required by subsection (1),
17 until December 31, 2027, each person that applies for a certificate
18 of title, a salvage vehicle certificate of title, or a scrap
19 certificate of title under this act shall pay a tire disposal
20 surcharge of \$1.50 for each certificate of title or duplicate of a
21 certificate of title that person receives. The secretary of state
22 shall deposit money received under this subsection into the scrap
23 tire regulatory fund created in section 16908 of the natural
24 resources and environmental protection act, 1994 PA 451, MCL
25 324.16908.

26 **(4) Beginning January 1, 2027 and subject to this subsection,**
27 **a dealer required to submit an application for title for the sale**
28 **or lease of a motor vehicle shall submit with each application for**
29 **title an additional fee of \$3.00. The secretary of state shall**



1 deposit the additional fee into the motor vehicle sales finance act
2 fund created in subsection (5). By July 1, 2028 and by July 1 every
3 2 years after, the director of the department of insurance and
4 financial services shall adjust the fee under this subsection,
5 rounded to the nearest whole dollar amount and not to exceed \$5.00,
6 as required under section 6(2) of the motor vehicle sales finance
7 act, 1950 (Ex Sess) PA 27, MCL 492.106, to the amount necessary to
8 pay, but not exceed, the department of insurance and financial
9 services' reasonably anticipated costs for administering the motor
10 vehicle sales finance act, 1950 (Ex Sess) PA 27, MCL 492.101 to
11 492.141. The director of the department of insurance and financial
12 services shall notify the secretary of state of the adjusted fee.
13 The adjusted fee takes effect January 1 after the adjustment. The
14 director of the department of insurance and financial services
15 shall communicate the adjusted fee to the dealers by bulletin when
16 the department of insurance and financial services sets the
17 documentary preparation fee under section 13 of the motor vehicle
18 sales finance act, 1950 (Ex Sess) PA 27, MCL 492.113.

19 (5) The motor vehicle sales finance act fund is created in the
20 state treasury.

21 (6) The state treasurer shall deposit money and other assets
22 received from the fees collected under subsection (4) and the motor
23 vehicle sales finance act, 1950 (Ex Sess) PA 27, MCL 492.101 to
24 492.141, or from any other source in the fund. The state treasurer
25 shall direct the investment of money in the fund and credit
26 interest and earnings from the investments to the fund. Money in
27 the fund at the close of the fiscal year remains in the fund and
28 does not lapse to the general fund.

29 (7) The department of insurance and financial services is the



1 administrator of the fund for audits of the fund.

2 (8) The department of insurance and financial services shall
3 expend money from the fund, on appropriation, for the
4 administration of the motor vehicle sales finance act, 1950 (Ex
5 Sess) PA 27, MCL 492.101 to 492.141, as provided for under section
6 6(5) of the motor vehicle sales finance act, 1950 (Ex Sess) PA 27,
7 MCL 492.106.

8 (9) Beginning March 1, 2027, the fees under this section do
9 not apply to a new or used vehicle dealer that acquires ownership
10 of a vehicle that has a title from this state issued electronically
11 by the secretary of state and that was not owned by a dealer.

12 (10) Beginning March 1, 2027, for an electronic transfer of
13 title, if an applicant is a new or used vehicle dealer that
14 acquires ownership of a vehicle from another new or used vehicle
15 dealer, the applicant shall pay a fee of \$5.00. This fee applies
16 only if the selling dealer held an electronic title. A new or used
17 vehicle dealer that pays the fee under this subsection is not
18 subject to the fees in subsections (1) to (3) or section 810a. The
19 fee under this subsection must be deposited into the transportation
20 administration collection fund created under section 810b.

21 Sec. 810a. ~~The~~ **Except as otherwise provided in section 806,**
22 **the** secretary of state shall collect an assessment of 50 cents in
23 connection with the issuance of a salvage vehicle certificate of
24 title, a certificate of title, or ~~beginning July 1, 1994~~ a scrap
25 certificate of title. The assessment ~~shall~~ **must** be collected in the
26 same manner and at the same time as fees collected by the secretary
27 of state ~~pursuant to~~ **under** sections 217c and 806. Each assessment
28 collected ~~shall~~ **must** be deposited in a vehicle theft prevention
29 account to be expended for purposes of developing a vehicle theft



1 prevention program, including the administration, inspection, and
2 enforcement of antitheft procedures, as described in this act.

3 Enacting section 1. This amendatory act does not take effect
4 unless Senate Bill No. 739 of the 103rd Legislature is enacted into
5 law.